it has reduced added sugar in Cerelac by up to 30 per cent over the past five years and also introduced a variant of the baby food with no refined sugar. While Lay's India has stated that it is doing trials to reduce palm oil in its product, PepsiCo didn't comment for this story. Confectionery major Mars also declined to comment. "As of now, according to FSSAI, there is no clear definition of HFSS foods; it is currently at the debate stage," says Sharma. "That's exactly why it becomes difficult to say the work FSSAI has done on HFSS foods."

THE PRICE FACTOR

Why do companies have different products in each country? The reason is pure economics, says Arvind Singhal, founder chairman of management consultancy Technopak Advisors. He says companies have to ensure the product sells in a market and is accepted by the consumers at the price point offered. "Price is a key factor when launching a product because anything that will price the product out of the belly of the market will mean that you will be restricting your ability to operate in the market," says a former regional director with Hindustan Unilever Limited, who did not want to be named. Hence, product ingredients are always a combination of three factors: price, taste and quality, he explains, adding that the product should also enable the firm to earn the turnover it has envisaged from the product category. However, FMCG companies aren't necessarily making exorbitant profits. Established players typically have a gross margin of 50-60 per cent, meaning production costs account for around 40 per cent—a standard across the global industry. "Usually, FMCG companies operate on thin margins, focusing on mass-market products, as they rely on volume, given that consumers are highly price-sensitive," he says.

So, what is the way forward? For one, the government can regulate the production of foods to ensure healthier options are available in the market. For example, salt and sugar are among the cheapest raw materials in India. "In our country, salt comes from the sea and sugar from subsidy. The government needs to link incentives like subsidies and taxes to nutrition to move the market towards production of healthier products," says Arpita Mukherjee, professor at ICRIER.

But manufacturers have no incentive to innovate on healthier variants, due to high tax. For instance, all carbonated beverages—whether traditional flavoured drinks or their low-sugar, fruit-based variants—are taxed at a standard 28 per cent GST plus a 12 per cent compensation cess, totalling 40 per cent. "As a food regulator," Sharma says, "we establish regulations and standards for the production and manufacturing of safe and hygienic food." Stressing that banning the sale or issuing advisories on food choices is not within the FSSAI's purview, she notes their Eat Right India campaign aims to improve public health through better food choices.



AI-generated image

"Food choices are driven by several factors, including family dynamics with women majorly responsible for putting food on the table, socio-economic status, convenience, accessibility, affordability and also what food options are available in the market"

PURNIMA MENON
Senior Director, Food and Nutrition Policy, IFPRI

MISLEADING LABELS

Any real solution must also reckon with how food is marketed and sold. The World Health Organization recommends clear front-of-pack nutrition labelling (FOPNL) norms to ensure everyone understands the nutrition information and makes informed choices about their consumption. Ironically, India has been in the process of drafting the FOPNL norms since 2014. "Several recommendations have been made, but they have been watered down by FSSAI due to pushback from the industry, leading to a stalemate," says Dr Arun Gupta, convenor of National Advocacy in Public Interest (NAPi), a think-tank on nutrition. It was only in September 2022 that an FOPNL draft was introduced, proposing an Indian Nutrition Rating (INR) model or Health Star Rating—a front-of-pack labelling system that rates the overall nutritional profile of food from half a star to 5 stars.

Health activists, however, argue that this system favours the industry over consumers, as it does not warn about harmful ingredients like high salt or sugar. Over 14,000 public comments have been submitted on this draft. George Cheriyan, working president of the Consumers Protection Association, suggests that warning labels like those used in Chile, where excess calories,